Also note, ‘Trading’ of real estate does not form a part of ‘Investing’ in real estate. Trading refers to buying and selling of an asset within a few months just to cash in some profits. The traditional ‘Buy and Hold’ approach is what we consider while investing in real estate. We want to invest our money for at least a few years.

A better way to buy real estate is with the use of leverage. Buying real estate for 100% cash is not a good idea when it comes to the rate of returns. From an investing perspective, it is always advisable to buy real estate with a part of it coming from leverage i.e. debt. We understood its math’ and that it multiplies the returns. However, this again is a personal choice and if we are comfortable without leverage, and it still meets our goals, then so be it.

Even though people understand the asset much better, still it requires skill and time and we need to consider the same. Also, we can consider REITs to get exposure in real estate without having the requirement of skill and time.

Having real estate in a portfolio has more to be with comfort than its return potential. It can be avoided completely if one is comfortable with financial assets alone. For most young people in their 20s, it would be best to avoid real estate.